

Complex Instrument Flag Dispute

Problem

A distributor challenges the complex/non-complex classification of a structured note.

Regulatory Requirements

MiFID II, Hong Kong SFC complex product rules.

Options Considered

A: Override per client. B: Maintain classification. C: Convene methodology review.

Decision

Convene methodology review and maintain current classification until resolved.

Reasoning

Consistent methodology prevents ad hoc regulatory treatment.

Risks

Client dissatisfaction, legal escalation, inconsistent downstream controls.